

CHAPTER ONE

AN OVERVIEW OF MANAGEMENT

1.1. MEANING AND DEFINITION OF MANAGEMENT

There is no one universally accepted definition of management because;

- Management as a discipline is recent in origin: management as a field of study is too young, to develop.
- Management is so broad that it is difficult to encompass all of its aspects in a single definition.
- There are different approaches to management, definitions change as the environment changes. The environment of an organization change because of changes in political, economic, social, ethical, etc environment changes.

Management is defined by different authorities in different ways. The following are some of the common definitions given by different authors in the field.

- i. Management is the art of getting things done through and with people in a formally organized group.
- ii. Management is the art of knowing what you want to do in the best and cheapest way.
- iii. Management is the art of securing maximum results with a minimum of efforts so as to secure maximum prosperity and happiness for both the employer and employee, and give the public the best possible service.
- iv. Management is the process of planning, organizing, directing and controlling to accomplish organizational objectives through the coordinated use of human and material resources." It is the process

of efficiently and effectively getting activities completed with and through other people. It is the process by which human and non-human resources are coordinated to accomplish a set of objectives.

1.2. Key Differences Between Management and Administration

Management is defined as an act of managing people and their work, for achieving a common goal by using the organization's resources. It creates an environment under which the manager and his subordinates can work together for the attainment of group objective. Management brings together 5M's of the organization, i.e. Men, Material, Machines, Methods, and Money. It is a result oriented activity, which focuses on achieving the desired output.

The administration is a systematic process of administering the management of a business organization, an educational institution like school or college, government office or any nonprofit organization. The main function of administration is the formation of plans, policies, and procedures, setting up of goals and objectives, enforcing rules and regulations, etc. Administration lays down the fundamental framework of an organization, within which the management of the organization functions. The nature of administration is bureaucratic. It is a broader term as it involves forecasting, planning, organizing and decision-making functions at the highest level of the enterprise. Administration represents the top layer of the management hierarchy of the organization. These top level authorities are the either owners or business partners who invest their capital in starting the business. They get their returns in the form of profits or as a dividend.

The major differences between management and administration are given below:

- Management is a systematic way of managing people and things within the organization. The administration is defined as an act of administering the whole organization by a group of people.
- Management is an activity of business and functional level, whereas Administration is a high-level activity.
- While management focuses on policy implementation, policy formulation is performed by the administration.
- Administration takes all the important decisions of the organization while management makes decisions under the boundaries set by the administration.
- A group of persons, who are employees of the organization, is collectively known as management. On the other hand, administration represents the owners of the organization.
- Management can be seen in the profit making organization like business enterprises. Conversely, the Administration is found in government and military offices, clubs, hospitals, religious organizations and all the non-profit making enterprises.
- Management is all about plans and actions, but the administration is concerned with framing policies and setting objectives.

1.3. The Nature of Management

- **Universal Application:-** Management is applied in any organization (large, small in size, or service or manufacturing or for-profit or not-for-profit) and its functions are practiced in any level of management.

- **Goal Oriented:-** Any organization is established to achieve objectives, and management is important for any organization to achieve its pre-stated objectives efficiently and effectively.
- **Guidance:-** The main task of management is guidance in the utilization of material and human resources in the best possible manner. Without the involvement of management, resources might be miss-utilized and wasted. Through the optimum utilization of resources, it to ensure that the objectives are attained.
- **Divorced/Separated from proprietorship:-** Management does not signify proprietorship/ownership. Managers work for the attainment of organizational goals and objectives.
- **Management is a human activity:-** Management functions are discharged by individuals not by machines such a computers. However, it can be aided by such instruments as computers.
- **Management signifies Authority:-** Since the significance of management is to direct, to guide and to control, it has to have authority. Authority is the power to compel others to work and behave in particular manner.
- **Leadership:-** The manager has to lead a team of workers. He/she must be capable of inspiring, motivating and winning their confidence.
- **Management is Multidisciplinary:-** It has grown as a body of discipline taking the help of so many social sciences like sociology, psychology, economics, etc.

1.4. Importance of Management

- 1) **Universal application.** Any organization in any country can use the various principles of management with slight modifications but still the essence of management remains the same.
- 2) **Efficiency.** Using the techniques and principles of management minimizes wastage of the various resources. Some of the other ways which increase the efficiency of an organization are proper implementation of management principles increase the productivity of the organization, fixation of responsibility makes the employees work with more commitment and sincerity, and the coordination between various departments and activities of the organization.
- 3) **Contribution to the society.** With the advent of the study of management profit motive was replaced with achieving social objectives like social justice, social service, good pay for worker's, looking after the workers welfare, providing quality product to the customer, helping government in policy making, etc.
- 4) **Promoting international understanding.** Since management is universal there is a scope for the organizations of one country to set up operations in another country which leads to the exchange of ideas about each other's cultures thereby increasing the understanding between these countries. Since the study of management is also universal teachers and students from one country can teach or learn about the principles of management in any country of choice which also contributes to increasing the understanding between nations.
- 5) **Welfare of workers.** Because of the evolution of management thought the organizations have realized that to keep the worker happy

is good for the organization in the long run hence this has resulted in better pay, good work environment, greater leisure/ recreation facilities, dignity of work, etc., for the worker.

- 6) **Management of scarce resources.** Not every country or organization of this world is endowed with all the resources needed for development and growth. Especially developing countries face an acute shortage of some resource or other like capital, educated and qualified work force, infrastructural facilities, natural resources, etc. Management techniques help in utilizing these scarce resources in an optimum manner.

1.5. IS MANAGEMENT A SCIENCE OR AN ART?

The question whether management is an art or a science has been an issue of debate for a long period of time.

Science is defined "as a systematized knowledge derived from observation, study, and experimentation carried on in order to determine the nature and principles of the subject under study". Similarly, management has a structured body of knowledge with its own distinct concepts and principles that are developed with reference to the general truths underlying the management practice. From this point of view, management is termed as a science. However, although management is recognized as a science, it should be noted that it is not as comprehensive or as exact as the other pure sciences. The reason is that the variables with which managers' deal differ. Managers deal with the human elements. And the behavior of human beings is unpredictable. As a result, they cannot be subject of controlled laboratory experiment.

According to Terry, "art is brining about of a desired result through the application of skill; it is the application of knowledge and skills to accomplish results". Art is grounded in the knowledge or principles developed by science. **Just as a doctor uses the science of medicine while diagnosing and treating the patients**, a manager uses the knowledge of management theory while performing his managerial functions. Art is the application of knowledge that constitutes the science. Thus, **art needs the existence** of science and science demands skillful application of knowledge. However, art is not only based on a systematic body of knowledge based on evidence, but it derives its creative power through intuition, inspiration and other purely subjective qualities. Managers make decisions and try to solve problems based on their intuition experience, and personal insight. Management is therefore considered as both a science and an art.

1.6. Universality of Management

Universality of management is the applicability of the principles of management in all types of organization and in all the different countries of the world.

Arguments against

- a) The persons arguing against the concept of universality of management say that management is culture bound. Culture means the attitudes, values, and beliefs of a society. The cultures of different societies are different and also the organizational cultures of the various organizations are not similar. When there is this difference in cultures the principles or techniques of management will not have the

- same result, hence, management is not universal. For example, in a country with strong tradition, religion and culture, introduction of modern management methods become difficult.
- b) Objectives of different organizations will be different and these objectives dictate the kind of managerial practices followed in these organizations. Thus we cannot call management as universal. Ex. The objectives of the Red Cross and Bahir Dar textile factory are different and the techniques of management followed in these organizations are also different.
 - c) Philosophy is the attitude towards certain activity or the way one looks at life. Differences in the management philosophies have a profound impact on the managerial practices of the organization. If the philosophy of the top management is to make as much profit as possible, then the managerial practices of that organization will be different from the organization whose philosophy is service to the society.

Arguments for

Researchers had conducted various studies carried out in different organization and in different countries to formulate these arguments which support the concept of universality of management.

- a) Management as a process or the various elements of management like planning, organizing, staffing, directing and controlling are common for all organizations, throughout the world.
- b) Management Fundamentals and Techniques /Practices may differ from organization to organization and from country to country but the

fundamental concept of management is the same throughout.

Universality means that fundamentals are the same throughout the world, but the techniques to achieve/ fulfill this fundamental may be different.

Conclusion

Bulk of the management theories have come from one country, i.e. USA and have been used successfully in different countries with different cultures.

This shows that management is universal when it adapts a little

1.7. Type of Managers

Managers can be classified into two ways, by their level in the organization - so called first line, middle and top managers and by the range of organizational activities for which they are responsible so called Functional and general managers.

(1) **First line Managers**- who are responsible for the work of operating employees only and do not supervise other managers; they are the first or lowest levels of managers in the organizational hierarchy. They are mainly concerned with:

- i) Planning of day to day work.
- ii) Assignment of jobs
- iii) Keeping a watch on workers performance.
- iv) Sending reports and statements to superiors
- v) Maintaining close and personal contacts with workers and evaluation of their work.

(2) **Middle level Managers**: who direct the activities of lower level managers and sometimes extends to supervision of operating employees. Their principal responsibilities are to direct the activities that implement their

organization's policies and to balance the demands of their superiors with the capacities of their subordinates.

(3) **Top Managers**:- composed of a comparatively small group of executives and they are responsible for the overall management an organization.

- They establish operating policies and guide the organization's interactions with environment.
- Responsibility of planning and executing broad policy decisions.

1.8. Functional and General Managers

We can distinguish or classify managers based on the scope of the activities they manage into:

i. Functional Managers

Functional managers are managers appointed to supervise single operations which require specialized skills.

E.g. Accountants, personnel, marketing and production managers

ii. General Managers

General Managers are responsible for the overall operations of a more complex unit, such as company or division.

General Managers usually **coordinate two or more departments** and hold functional managers accountable for their specialized areas.

1.9. Managerial Skills

A skill is an **acquired and learned ability** to translate knowledge into performance. Modern business organizations are dynamic, complex and competition in the market place is very high. Consequently, managers must be highly skilled to succeed. The major managerial skills that managers need to possess include: Technical skills, Human skills and Conceptual skills.

Technical skills

Technical skill involves the use of **knowledge, methods and techniques** in performing a job effectively. It is a specialized knowledge and expertise, which is utilized in dealing with day-to-day problems and activities. This skill is acquired through education and training or formal studies in colleges and institutions. Technical skill is more important at lower level management and as one move to higher level management; the relative importance of technical skill will diminish. E.g. engineers, accountants, computer programmers, program analysis's etc.

Human skills

It is the ability to **work with other people** in a co-operative manner i.e. the ability to influence others, to motivate, to lead and understand others. It involves understanding, patience, trust and genuine practice in interpersonal relationships. Though there are some controversies, these skills are equally important at all levels of management because all tasks in an organization are done with people. This skill includes effective communication, creation of positive attitude towards others, development of co-operation among group members and motivation of subordinates.

Conceptual skill

It is ability of a manager **"to see" the big picture** of the organization, to view the organization from a broad perspective. It is the ability to view the organization as a whole entity and as well as a system comprised of various parts and subsystems integrated into a single unit. It is especially important for top level managers who keep the whole system under focus. They must understand the complexities of the overall organization, to see the big picture and how each unit of the organization contributes towards the

success or achievement of organizational goals. Conceptual skills are more important in strategic (long range) planning; therefore, it is the top- level managers/executives who require more of these skills than middle level managers and supervisors.

1.10. Basic Management Functions

The Basic Management functions include

Planning: -

- It is the first function that all managers engage in.
- It lays the groundwork for all other functions.
- Planning usually:
 - Identifies the goals of an organization
 - It maps out courses of action

Organizing

Organizing is concerned with:

1. Assembling the resources necessary to achieve the organization's objectives.
2. Establishing the activity-authority relationships of the organization

Planning has established the goals of the company and how they are to be achieved

Organizing is therefore concerned with developing the structure to reach these goals.

Staffing:

Staffing is concerned with locating prospective employees to fill the jobs created by the organizing process.

Involves:

- Recruiting and selecting potential candidates for a job.
- Matching the job demands with the candidates' abilities.
- Orienting new employees to the job environment
- Keeping employees qualified
- Appraising performance and providing feed-back
- Determining the proper pay and benefit for each job

Directing /leading:

Directing is aimed at getting members of the organization to move in the direction that will achieve its objectives.

It involves motivating and encouraging employees, to participate in the decision-making process.

Controlling:

Controlling deals with:

- Establishing standards of performance
- Reassuring performances against established standards, and
- Dealing with deviations from established standards.

It attempts to:

- Prevent problems
- Solve the problems that occur

In general, controls ensure that work is performed to standards as planned.

1.11. Managerial Roles

Managerial role is the means to successfully accomplish managerial functions and categories of actual managerial behaviors.

Managerial roles represent **specific tasks** that managers undertake to ultimately accomplish the functions of planning, organizing, staffing, leading

and controlling. Henry Mintzeberg developed ten managerial roles, which can be classified into three broad categories. These are

1) Inter personal roles

These are the roles that the managers play in **interacting with other people** both within the organization and outside the organization.

Managers spend a lot of time with peers, subordinates, suppliers, customers, government officials and community leaders because of their formal authority, superiority and strategic position. Therefore, they are required to have an understanding of interpersonal relations. These roles again are classified into three categories.

- a) **Figurehead role:** - when managers perform duties of social or legal obligations that represent an organization at different occasions such as ceremonial and symbolic in nature it is said to be Figurehead role. These duties include: - greeting visitors, signing legal documents, taking important customers to lunch, attending social functions involving their subordinates like wedding, funerals, handing out merit certificates to workers etc or speaking at functions in schools and churches etc.
- b) **The leadership role:** - the influence of a manager is clearly seen in his role as a leader of the unit or organization. This involves **directing and coordinating** subordinates' activities such as hiring, training, motivating and guiding. He must be an example/role model leader so that his subordinates follow his directions and guidelines with respect and dedication.
- c) **Liaison role:** - Managers must maintain a **network of outside contacts** in order to assess the external environment such as

competition, social changes or changes in government rules, regulation and laws that affect the organization interest. In this role the managers build up their own external information system.

The Liaison with external sources of information can be developed by attending meetings and professional conferences by personal phone calls, trade journals and by informal personal contacts within outside agencies.

2) Informational Role

Managers emerged as a source of information about certain issues concerning the organization. They play the role of **central point for receiving and sending** important information. Informational roles describe the manager's activities used to maintain and develop an information network. In informational role managers perform the following three roles.

a) The monitor role: - in this role managers constantly monitoring and examining their internal and external environment by collecting and studying information concerning their organization. They seek information from various sources in order to make decision and solve problems that would be achieved by reading reports and periodicals, by asking their liaison offices etc.

b) The disseminator role: - Manager's must transmit their information regarding changes in policies or other matters to their subordinates, their peers and to other members of the organization. He/she should provide important information to subordinates that they might not ordinarily know about. This can be done through memorandums, phone calls, individual meetings and group meetings.

Managers do not put aside information rather they pass it to peers. The type of information to be forwarded to organizational members may include facts, opinions, interpretations and influences.

c) Spokes person role: - the manager represents his/her organization or unit to other people internally or externally. A manager represents his organization in either sending relevant information to people outside the firm or making some demand on behalf of the firm. He transmits information to outsiders as official position of the organization. Managers are also responsible to provide official statements to people outside the organization about company policies, plans, actions or development. The information can be transmitted to outsiders through a speech at the trade show, reports, holding a press conference, giving public interview or through advertising medias.

3) Decision making/Decisional role

On the basis of the managers interpersonal and information received, a manager must make decisions and solve organization problem in that respect. These are manager's activities to make choices from alternatives. Managers are responsible to identify problems and opportunities and then balance conflicting interests. In the decisional role the manager becomes an entrepreneur, disturbance handler, resource allocator and negotiator.

a) Entrepreneurial role: - here managers are continuously involved in improving the organization and facing dynamic technological changes and initiating and designing of change in the organization by assuming the risk of change. They always look out for new

ideas for product improvement. They initiate feasibility studies, they arrange capital for new products, they ask for suggestions from employees, how to improve the organization. In general, they take risks for investment.

- b) **Disturbance handler role:** - managers have to work like a fire fighter. They must seek solutions of various unanticipated problems such as strikes, complaints, grievances, shortage of materials etc. the manager makes decisions or takes corrective action to response to pressure beyond his/her control. They have to take corrective actions during crises, disputes and sudden departure of subordinates, importance customers or suppliers.
- c) **The resource allocator role:** - the manager must divide work and delegate authority among his subordinates. He/she must make decisions how to optimally allocate scarce resources among the unlimited needs. This role of managers pertains to decisions about how to allocate people, time, equipment, budget and other resources to attain desired results. Managers decide exactly where the organization will expend its resources according to the priorities of organizational objectives.
- d) **Negotiator role:** - the manager deals or negotiates with individuals or groups about certain issues in view of reaching agreement on certain problems. The manager also bargains with units and individuals to obtain advantages for his/her unit or organization.

Rewards and Challenges of Being a Manager

Rewards	Challenges
• Create a work environment in which organizational members can work to the best of their ability • Have opportunities to think creatively and use imagination • Help others find meaning and fulfillment in work • Support, coach, and nurture others • Work with a variety of people • Receive recognition and status in organization and community • Play a role in influencing organizational outcomes • Receive appropriate compensation in form of salaries, bonuses, and stock options • Good managers are needed by organizations	• Do hard work • May have duties that are more clerical than managerial • Have to deal with a variety of personalities • Often have to make do with limited resources • Motivate workers in chaotic and uncertain situations • Successfully blend knowledge, skills, ambitions, and experiences of a diverse work group • Success depends on others' work performance

Self trial question

1. **Explain** why managers are important to organizations?
2. **Tell** who managers are and where they work?
3. **Explain** the value of studying management?